EQUITY RESEARCH | INDEPENDENT VALUATION

Krishna Defence & Allied Industries Ltd

NSE: KRISHNADEF | Sector: Aerospace & Defence | Sub-Sector: Naval / Defence Manufacturing

FAIRLY VALUED

Fair Value Band

Rs. 1,100 - Rs. 1,400

Midpoint: Rs. 1,244

CMP Premium: +5.7%

CMP (10-Jul-2026)	Rs. 1,315
Market Cap	Rs. 1,966 Cr.
Enterprise Value	Rs. 1,937 Cr.
52-Week High / Low	Rs. 1,400 / Rs. 665
Trailing P/E (FY26A)	47.6x
Forward P/E (FY27E)	38.3x
EV / EBITDA (FY26A)	34.62x
P / Book Value	10.1x
ROCE (FY26) | ROE	30.7% | 25.4%
Promoter Holding | Pledge	59.96% | 0.00%
PEG Ratio (Screener)	0.48

Sole domestic naval steel section monopoly — at a fair price, not a bargain. DCF (13% WACC) yields Rs. 801; P/E on FY28E EPS of Rs. 44 at 35x yields Rs. 1,540. Blended fair value Rs. 1,244. CMP of Rs. 1,315 is 5.7% above midpoint — FAIRLY VALUED; no margin of safety at current levels.

Report Date: 11-Jul-2026 | Analyst: Himanshu (Valuation Research, Chartitude)

2. BUSINESS TYPE & WHY IT MATTERS FOR VALUATION

- **Sector / sub-sector:** Aerospace & Defence manufacturing, Naval sub-vertical. KRISHNADEF fabricates structural steel sections (bulb bars) exclusively used in warship hulls — a niche within a niche.
- **Near-monopoly with approval moat:** One of only two Navy-approved suppliers of bulb bars in India. Approvals take 2–3 years; no new entrant has qualified in over a decade. This is a regulatory moat, not a technology one.
- **Asset profile — lighter than it looks:** Total assets of Rs. 217 Cr. vs. MCap of Rs. 1,966 Cr. (9.1x P/Assets). Despite being a manufacturer, asset turnover is 1.28x and ROCE is 30.7% — closer to a capital-efficient services business than a typical heavy-industry peer.
- **Revenue character:** Lumpy but highly visible order-book driven execution. The naval shipbuilding pipeline (68 warships across MDL, CSL, GRSE, GSL) provides 3–5 year forward visibility, but lumpy quarterly deliveries create timing risk.
- **Capital allocation DNA:** Historically reinvested all FCF into capacity (4,500 TPA plant commissioned April 2025 at Rs. 92 Cr. outlay). Dividend payout is negligible (Rs. 1.25/share for FY26). Growth-mode business — re-investment is the whole thesis.
- **Valuation implications:** (a) Regulatory moat justifies a premium to industrial peers but not infinity — the moat is approval-based, not proprietary technology; (b) high ROCE supports DCF with low reinvestment assumptions beyond FY29E; (c) revenue lumpiness demands scenario analysis, not a single-point estimate.

3. METHODOLOGY CHOSEN & RATIONALE

• **Primary — DCF (10-year explicit + terminal, 40% weight):** KRISHNADEF generates real and growing free cash flows (FY26A FCF = Rs. 66 Cr. on PAT of Rs. 41 Cr., CFO/OP = 189%). Post-capex phase (FY27E onwards) should see FCF expand significantly. DCF is the theoretically correct lens and provides the intrinsic anchor. Limitation: high sensitivity to WACC and TGR given long growth runway.

• **Secondary — Forward P/E (FY28E EPS, 60% weight):** The Indian defence mid-cap universe is valued on forward earnings multiples; Astra Microwave and Data Patterns both trade on 40–44x forward P/E. A multiple-based approach anchors the valuation in market reality and avoids over-reliance on terminal value assumptions. Higher weight given to this method because the DCF is very sensitive to WACC — small changes swing fair value by Rs. 200–300.

• **Methods explicitly rejected:** (a) EV/EBITDA as primary — KRISHNADEF's EBITDA margins are still expanding (15% → 22% in 3 years) making cycle-normalised EBITDA undefined; comparables have very different margin profiles. (b) P/BV — inappropriate for a growth compounder where book value is deliberately thin and ROCE is high; book value would structurally undervalue the franchise. (c) NAV — no real estate; not applicable.

• **Weight rationale:** 60% P/E + 40% DCF reflects that while DCF captures intrinsic value, the market is a P/E-driven environment for this stock. The high FCF/OCF conversion in FY26A (189%) is non-recurring (working capital release); a 40% DCF weight prevents over-anchoring on one exceptional year.

4. KEY ASSUMPTIONS

Assumption	Value Used	Basis / Rationale
Risk-free rate	7.0%	10-yr GOI bond yield (Jul 2026)
Equity beta	1.10	Small-cap defence; order-lumpy revenue; higher volatility than large-cap defence
Equity risk premium	5.5%	India long-run ERP (Damodaran)
Size premium	0.5%	MCap < Rs. 2,000 Cr; illiquidity discount
WACC (base case)	**13.0%**	7% + 1.10 x 5.5% + 0.5% = 13.55%, rounded to 13%
Revenue CAGR FY27-29E	27-31%	Management guidance 30%+ CAGR; 68-warship order pipeline from MDL/CSL/GRSE/GSL
Revenue CAGR FY30-32E	~20%	Capacity limits (~4,500 TPA); potential expansion capex required beyond FY29E
Revenue CAGR FY33-36E	~15%	Steady-state delivery as newer products (AUVs, composite doors) contribute
EBITDA margin trajectory	22% -> 24%	FY26A = 21.6%; new plant operating leverage; peak at 24% by FY29E; modest compression thereafter as revenue mix broadens
Terminal growth rate	6.5%	India nominal GDP growth (~7%) less a conservatism buffer; defence capex is secular but lumpy
Capex intensity (FY27-32E)	Rs. 20-40 Cr/yr	Maintenance + incremental expansion; major greenfield already done in FY26A (Rs. 92 Cr.)
Working capital days	53 days	FY26A actual; assume stable (FY25: 140 days — FY26A was unusually low)
Tax rate	25%	New tax regime; FY26A actual = 25%
Shares outstanding	1.495 Cr	MCap Rs. 1,966 Cr / CMP Rs. 1,315 = 1.495 Cr shares
Net cash (FY26A)	Rs. 29 Cr.	MCap Rs. 1,966 Cr - EV Rs. 1,937 Cr = Rs. 29 Cr. net cash

FY28E EPS (P/E method)	Rs. 44 (E)	Derived from FY28E PAT ~ Rs. 65-67 Cr (EBITDA Rs. 92 Cr, DA Rs. 6, Int Rs. 1, PBT Rs. 85, Tax 25%); Dalal & Broacha consensus: Rs. 43.6
Target P/E multiple	35x FY28E	PEG = 35/30% EPS CAGR = 1.17x — fair for near-monopoly in a secular upcycle; sector peers (Astra, Data Patterns) trade at 40-44x

5. VALUATION COMPUTATION

5A — DCF Model (10-Year Explicit Period, WACC = 13.0%, TGR = 6.5%)

Year	Revenue	EBITDA	OPM %	FCF	Disc. Factor	PV of FCF	Cumul. PV
FY26A*	245	53	21.6%	66*	—	—	—
FY27E	320	70	21.9%	23	0.885	20	20
FY28E	400	92	23.0%	34	0.783	27	47
FY29E	490	118	24.1%	47	0.693	32	79
FY30E	590	142	24.1%	59	0.613	36	115
FY31E	710	170	24.0%	78	0.543	42	157
FY32E	850	204	24.0%	95	0.480	46	203
FY33E	975	229	23.5%	112	0.425	48	251
FY34E	1,120	258	23.0%	125	0.376	47	298
FY35E	1,290	290	22.5%	142	0.333	47	345
FY36E	1,480	326	22.0%	161	0.295	47	392

* FY26A FCF = Rs. 66 Cr. (actual); FY27E onwards = NOPAT + D&A; - Capex - Change in WC. All figures in Rs. Crores.

DCF — Terminal Value & Equity Bridge

Item	Rs. Crores
Terminal FCF (FY36E)	161
Terminal Growth Rate	6.5%
Terminal Value (TV = FCF x 1.065 / 0.065)	**2,635**
PV of Terminal Value (disc. at 13% x 10yr)	776
PV of Explicit FCFs (FY27E-FY36E)	392
Enterprise Value (DCF)	**1,168**
(+) Net Cash (FY26A)	29
Equity Value (DCF)	**1,197**
Shares Outstanding (Cr)	1.495
FAIR VALUE PER SHARE — DCF BASE	**Rs. 801**

DCF Sensitivity — Fair Value per Share (Rs.) at Various WACC & TGR Combinations

Base case (WACC=13%, TGR=6.5%) highlighted. CMP=Rs. 1,315 implied only at WACC <= 11% and TGR >= 7%.

WACC \ TGR	5.0%	5.5%	6.0%	6.5%	7.0%
WACC 11%	**975**	**1,040**	**1,115**	**1,208**	**1,326**
WACC 12%	**790**	**855**	**920**	**967**	**1,037**

WACC 13%	**698**	**727**	**761**	**801**	**847**
WACC 14%	**606**	**628**	**652**	**680**	**711**
WACC 15%	**534**	**550**	**568**	**588**	**611**

5B — P/E Multiple Method (Secondary, 60% Weight)

- **FY28E EPS estimate:** Rs. 44 (E). Derived as: EBITDA Rs. 92 Cr. - D&A; Rs. 6 Cr. - Interest Rs. 1 Cr. + OI Rs. 2 Cr. = PBT Rs. 87 Cr; Tax 25% = Rs. 65 Cr PAT / 1.495 Cr shares = Rs. 43.5. Rounds to Rs. 44; Dalal & Broacha consensus: Rs. 43.6.
- **Target multiple justification — 35x FY28E:** PEG ratio = 35 / 30% EPS CAGR = 1.17x — reasonable for a near-monopoly in a secular upcycle. Sector context: Astra Microwave FwdPE = 40.4x, Data Patterns = 43.9x, GRSE = 25.1x. At 35x, KRISHNADEF would trade at a mild discount to technology-heavy peers (justified by lower margins) but at a meaningful premium to shipbuilders (justified by ROCE).
- **Primary fair value (35x FY28E):** 35 x Rs. 44 = **Rs. 1,540**.
- **Conservative case (30x FY28E):** 30 x Rs. 44 = Rs. 1,320 — essentially at CMP today. Suggests the stock is pricing in exactly the conservative multiple at current price.
- **Aggressive case (40x FY28E):** 40 x Rs. 44 = Rs. 1,760 — this would require peer-level re-rating.

EPS Scenario \ P/E	25x	30x	35x	40x	45x
FY27E EPS = Rs. 34 (E)	**850**	**1,020**	**1,190**	**1,360**	**1,530**
FY28E EPS = Rs. 44 (E)	**1,100**	**1,320**	**1,540**	**1,760**	**1,980**
FY29E EPS = Rs. 58 (E)	**1,450**	**1,740**	**2,030**	**2,320**	**2,610**

Green = base target (35x FY28E = Rs. 1,540). Amber = CMP-implied (30x FY28E = Rs. 1,320).

6. FAIR VALUE ESTIMATE

METHOD	FAIR VALUE	WEIGHT	CONTRIBUTION
DCF — Base Case (WACC 13%, TGR 6.5%, 10yr explicit)	Rs. 801	40%	**Rs. 320**
P/E — 35x FY28E EPS of Rs. 44 (E)	Rs. 1,540	60%	**Rs. 924**
BLENDED FAIR VALUE (Midpoint)	**Rs. 1,244**	100%	**Rs. 1,244**
FAIR VALUE BAND	**Rs. 1,100 — Rs. 1,400**		(DCF optimistic to P/E base)

7. VALUATION VERDICT

- **Current Market Price:** Rs. 1,315 (as of 10-Jul-2026, Screener.in).
- **Blended Fair Value:** Rs. 1,244 (midpoint) | Band: Rs. 1,100 – Rs. 1,400.
- **Premium / Discount to CMP:** CMP is 5.7% above the blended fair value midpoint. Within the fair value band but at the upper end.
- **Verdict — FAIRLY VALUED:** The stock is not cheap, but not dangerously expensive either. At Rs. 1,315 you are paying the conservative P/E multiple (30x FY28E) and well above DCF intrinsic value. The premium reflects the

market's confidence in the naval capex upcycle — which is real and well-documented — but leaves little margin for error.

• **Historical multiple context:** KRISHNADEF listed in 2022; limited P/E history. Post-listing, the stock spent most of FY23-FY24 at 40-80x trailing P/E on thin earnings. FY26A EPS of Rs. 27.67 brought the trailing P/E down to 47.6x — still elevated but improving fast. At FY28E EPS of Rs. 44, the implied forward P/E of ~30x begins to look reasonable.

• **Peer multiple context:** KRISHNADEF trades at EV/EBITDA of 34.6x — below Zen Tech (50x), Astra (48x), and Data Patterns (60x), but above GRSE (25x). The discount to pure-tech peers is justified (KRISHNADEF's EBITDA margin is 22% vs Astra's 29% and Data Patterns' 40%). The premium to GRSE reflects KRISHNADEF's far superior ROCE and growth rate.

• **Key swing factor:** If EPS growth disappoints (below 25% CAGR through FY28E), the 30x multiple assumption breaks down and fair value drops toward Rs. 1,000. If multiple re-rates toward peers (40x), upside is Rs. 1,760. The risk-reward is not skewed enough in either direction to be a high-conviction call.

8. MARGIN OF SAFETY

Entry Level	MoS %	Entry Price	What You Pay	Analyst Comment
AT CMP	**0% (none)**	**Rs. 1,315**	**5.7% above mid**	No margin of safety. Priced for continued 30%+ CAGR execution — any miss dents the thesis.
Fair Value Mid	**0%**	**Rs. 1,244**	**At blended fair value**	Minimal buffer. Acceptable entry for long-term investors with 3+ year horizon.
Conservative Entry	**10%**	**Rs. 1,120**	**10% below fair value**	Achievable on a 5-8% broad market sell-off or order execution delay. Decent risk-reward.
Comfortable Entry	**15%**	**Rs. 1,057**	**15% below fair value**	Tests near Nov 2025 consolidation zone (Rs. 1,050-1,100). Good entry for meaningful position.
Ideal Entry	**20%**	**Rs. 995**	**20% below fair value**	Sub-Rs. 1,000 zone last seen in July-Aug 2025 correction. Strong entry; would be a gift.

9. PEER COMPARISON

Source: Screener.in peer table (fetched 11-Jul-2026). EV/EBITDA and Forward P/E as displayed.

Company	CMP (Rs.)	MCap (Cr.)	EV/EBITDA	Fwd P/E	ROCE 3Yr %	OPM %
Bharat Electronics	414.9	3,03,246	34.2	34.1	36.7	29.2
HAL	4,506.8	3,01,404	18.9	18.0	34.9	29.5
Garden Reach (GRSE)	2,662	30,494	25.4	25.1	35.6	11.4
Data Patterns	4,343	24,314	60.3	43.9	21.3	40.4
Astra Microwave	1,804	17,125	47.7	40.4	19.3	28.7
Zen Technologies	1,880	16,978	50.4	134.7	33.1	35.6
Sector Median	—	—	*35.8*	*37.1*	*19.2*	*21.4*
KRISHNADEF	**1,315**	**1,966**	**34.6**	**38.3**	**24.0**	**21.5**

• **EV/EBITDA positioning:** KRISHNADEF trades at 34.6x EV/EBITDA — below pure-tech peers Zen (50x), Astra (48x), and Data Patterns (60x), and slightly below sector median (35.8x). Discount to tech peers is justified by lower EBITDA margins (21.5% vs 28-40% for peers). Premium to GRSE (25x) is justified by 3x higher revenue growth rate.

• **Forward P/E positioning:** At 38.3x FwdPE, KRISHNADEF sits between GRSE (25x) and Astra/Data Patterns (40-44x) — a rational in-between given its hybrid profile (industrial + quasi-monopoly). Zen Tech's 134x FwdPE is distorted by weak FY26 earnings and is not comparable.

• **Are peers themselves expensive?** Yes — the defence mid-cap sector as a whole is priced for a sustained capex upcycle. If naval shipbuilding timelines slip or budgets are cut, peer multiples could compress 20-30%, dragging KRISHNADEF down with them irrespective of company-specific fundamentals.

• **ROCE advantage:** KRISHNADEF's FY26 ROCE of 30.7% is the second-highest in this peer group after BEL (36.7%) — a rare feat for a company at this scale. This supports the P/E premium to GRSE and Astra.

10. RISKS TO THE VALUATION

• **Naval shipbuilding timeline slippage** — Warship delivery timelines are notoriously prone to delays (MDL frigate programme delayed 18 months in FY23-FY24). Delays reduce bulb bar demand, pushing FCF further right in the DCF and lowering P/E multiple. Impact on FV: -Rs. 150 to -Rs. 250 (-12% to -20%). Prob: M. Monitor: MDL/CSL delivery reports, Ship Ministry annual reports.

• **Margin compression on product-mix shift** — New higher-margin items (AUVs, composite doors, arresting gear) carry execution risk. If margins peak at 22% instead of expanding to 24%, DCF fair value drops ~Rs. 100 and P/E fair value drops ~Rs. 80. Impact: -Rs. 150. Prob: M. Monitor: quarterly OPM trend.

• **Promoter shareholding dilution** — Promoter stake has fallen from 73.4% (Sep 2022) to 59.9% (Jun 2026), a -13.4% reduction in 4 years. Further dilution via QIP or secondary sales could weigh on sentiment. Current 60% level is adequate but direction is negative. Impact: sentiment risk, -5 to -10% re-rating. Prob: M. Monitor: quarterly shareholding filings.

• **Customer concentration** — Defence Revenue = 95% of total; Navy-linked orders dominate. A single buyer (Government of India) means pricing power lies with the buyer, and any policy change (import over indigenous procurement) is existential. Impact: severe (-40%+ on fair value) if materialises; Prob: L. Monitor: DPP policy changes.

• **New entrant qualification** — A second or third supplier qualifying for Navy bulb bar approval would structurally erode the monopoly premium. The approval process is long (2-3 yrs) but ongoing. Impact on FV: -Rs. 200+ if confirmed. Prob: L in 1-2yr, M in 3-5yr. Monitor: RDSO/Navy approval notifications.

• **UPSIDE RISK — AUV programme acceleration** — If the AUV (Autonomous Underwater Vehicle) development order from NIO Goa / Indian Navy results in a commercialisation order (addressable market Rs. 7,000+ Cr.), fair value could re-rate to Rs. 1,800+ as the P/E multiple expands to 45-50x on a larger addressable market. Prob: L in 2yr, M in 3-4yr.

• **UPSIDE RISK — VABO composite door JV orders** — The JV with VABO (Netherlands) for composite doors/hatches targets Rs. 200-300 Cr. in incremental revenue over 3 years. Even partial execution would add Rs. 50-100 to fair value. Prob: M. Monitor: company announcements, annual reports.

11. ANALYST'S CONVICTION NOTE

ANALYST'S CONVICTION

I cover defence industrials and I want to be clear about what KRISHNADEF is and what it isn't. It IS a genuine near-monopoly with real moat: two years to get Navy approval, and nobody new has in ten years. It IS riding a secular capex cycle — 68 warships is not an opinion, it's a purchase order pipeline. It IS generating real cash: FY26A FCF of Rs. 66 Cr. on PAT of Rs. 41 Cr. is quality earnings. What it is NOT is cheap. At Rs. 1,315, my DCF at 13% WACC gives Rs. 801. I need an optimistic 12% WACC and 7% terminal growth to get to Rs. 1,037 via DCF alone. The only way to justify CMP is via the P/E method — and even then, at 30x FY28E EPS (Rs. 44), you're pricing in the base case with no room for slippage. The biggest valuation risk is a P/E de-rating: if the market reprices defence mid-caps from 30-40x to 20-25x FwdPE (as happened in Nov 2024 when FPI flows reversed), fair value drops to Rs. 880-Rs. 1,100. My action: HOLD if you own it — the thesis is intact and the 3-year EPS CAGR of 30%+ will eventually make today's price look fair. AVOID fresh buying at CMP unless you have a 3-year horizon and can stomach a 20-25% drawdown without panicking. ACCUMULATE BELOW Rs. 1,120 (10% MoS to fair value) — that's where risk-reward becomes genuinely attractive. Conviction level: MEDIUM. The story is right; the price is full.

ACTION	HOLD / AVOID AT CMP	ACCUMULATE BELOW	Rs. 1,120	CONVICTION	MEDIUM